Long Recommendation: Amkor Technology

(NASDAQ: AMKR)

November 25th, 2025

Noah Halfon

Business Overview

Amkor is one of the world's largest providers of outsourced semiconductor packaging and test services (OSAT).

U.S. Manufacturing Initiatives

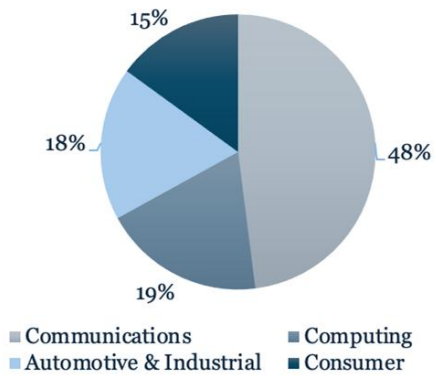
- Amkor Technology, Inc. (NASDAQ: AMKR) is a global leader in OSAT services, providing packaging and testing solutions for semiconductor devices
- Founded in 1968 and headquartered in Tempe, Arizona, with operations across the US, Japan, Europe, and Asia Pacific, employing ~28,300 people

End Market Breakdown

- Amkor's business revolves around four key segments:

1) **Communications:** Comprises 48% of total net sales, driven by the smartphone market (iOS/Android), as well as 5G connectivity and AI edge devices
2) **Computing:** Drives the high-performance computing (HPC) sector, providing advanced packaging for AI accelerators and High-Bandwidth Memory (HBM) components, data centers
3) **Automotive & Industrial: Demand from automotive electronics, ADAS (Advanced Driver Assistance Systems), electrification (EVs), power management systems**
4) **Consumer:** Wearables, AR/gaming devices, and connected home electronics. Amkor System in Package (SiP) expertise is a key offering for the miniaturization and functionality

Business Mix

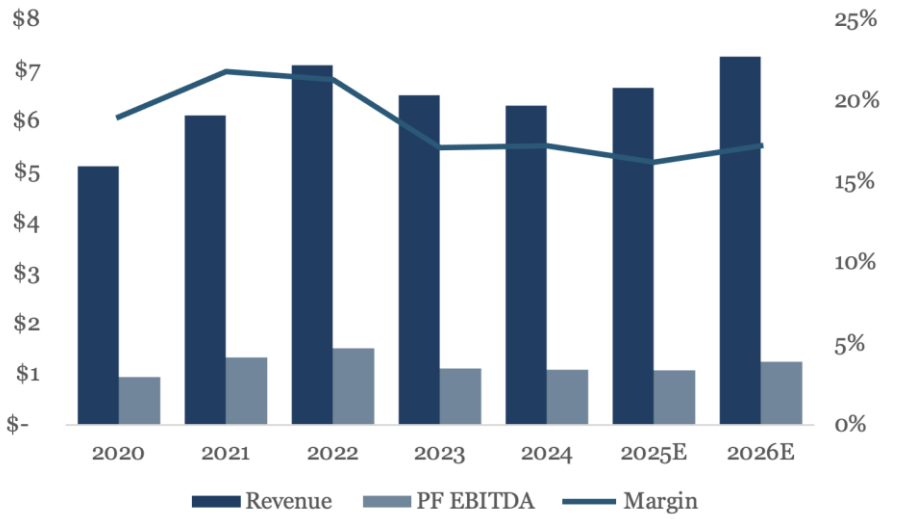


Cap Table

Share Price	$33.14
FDSO	247
Market Cap	**$8,185.5 8**
Plus: Debt	$1,800
Less: Cash & Cash Equivalents	($2,100)
Enterprise Value	**$10,386**

NTM P/E	26.6x
EV/EBITDA	9.8x

Financial Performance ($B)



Sources: Amkor Website, SEC Filings

Sentiment and Setup

Opportunity to own a part of the key capacity bottleneck set to appreciate as macro and supply pressures build.

Amkor Stock Price (USD)

Street Expectations Conservative

- **Payoff Pushed:** Revenue from Arizona campus is not expected to start flowing until **early 2028**, significantly pushing out the payoff horizon
- **Valuation Reflects Near Term FCF Depression:** FY 2025 CapEx increased to $950M, causing **FCF trough** and margin compression
- **Relative Valuation Opportunity:** The stock currently trades at a **low sales multiple and has strong relative P/E** to OSAT peers and the broader semi-services sector, indicating a **lag in fully pricing** its leadership role

Sentiment Around Chips/AI/Data Center Growth

- Demand in advanced markets (Hyperscale CapEx up 50% YoY) surging to build out the required capacity driven by AI/GPU applications
- Equipment flows are being redirected from Taiwan to United States (Arizona) to bypass tariffs and localize technology equipment production
- The US leads in semiconductor design (NVIDIA), accounting for 50% of the global market, but has a major supply chain weakness in chip assembly
- Signals from industry leaders confirming that the bottleneck is shifting from inventory correction to capacity expansion in advanced packaging, while scaling fabrication takes years; large players like TSMC and Apple will prioritize immediate partnerships

Sources: Amkor Website, SEC Filings

Thesis 1: American Onshoring Initiatives

Onshoring creates a multi-year demand tailwind where the street is underpricing Amkor's strategic value.

U.S. Manufacturing Initiatives

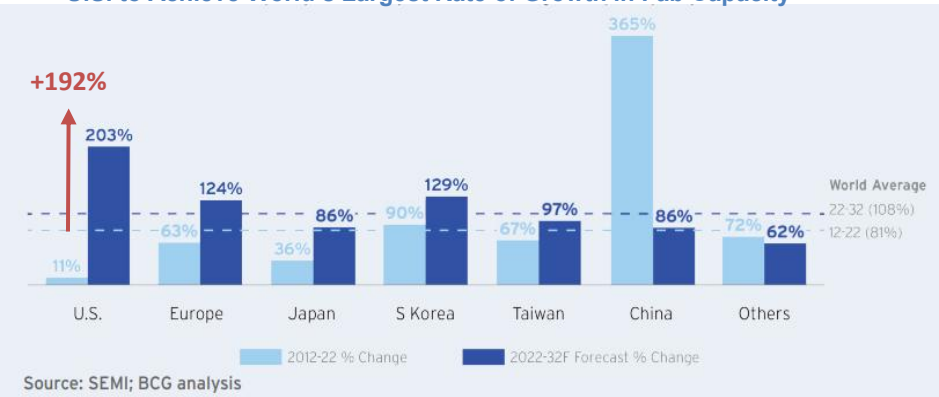
Driver #1: CHIPS Act Initiative

- Federal legislation providing over $52.7 billion in subsidies and a 25% Investment Tax Credit to incentivize the construction of fabs and related facilities
- Specific $407M announced in direct funding to AMKR
- Domestic support seen by administrations lateral investments into INTC, MP, LAC, and AAPL tariff reprieve

Driver #2: Ecosystem Wide Validation

- Quotes from: Jun He (VP of Advanced Packaging at TSMC), Jensen Huang (CEO, NVIDIA), Sabih Khan (Apple's COO), and Howard Lutnick (U.S. Secretary of Commerce)
- Part of Apple's $600B American manufacturing pledge includes a direct investment in AMKR, amount unknown

U.S. to Achieve World's Largest Rate of Growth in Fab Capacity



Amkor's Competitive Advantages

1) Has no domestic peer as the only U.S. OSAT at scale

- Being the only operating American OSAT reflects unique position to receive continued government/C-suite support
- Leadership in system in package (SiP) market share, few companies globally capable of scaling 2.5D/3D integration (CoWoS, InFO))
- The collective support from multiple layers of ecosystem provides material downside protection and a proprietary claims on government subsidies, tax incentives, and long-term strategic initiatives

2) Building America's largest advanced packaging hub

- Amkor's new facility is located next door to close partner TSMC, whos facility makes custom silicon wafers for their mutual, client Apple (Chip-on-Wafer/3D packaging)
- Market share opportunity as the first domestic end to end chip supply chain (AAPL-TSMC flow)
- A domestic supply chain de-risks the most vulnerable part of many companies manufacturing and business processes
- Long-term revenue driver as U.S. fab capacity ramps in 2025–2030

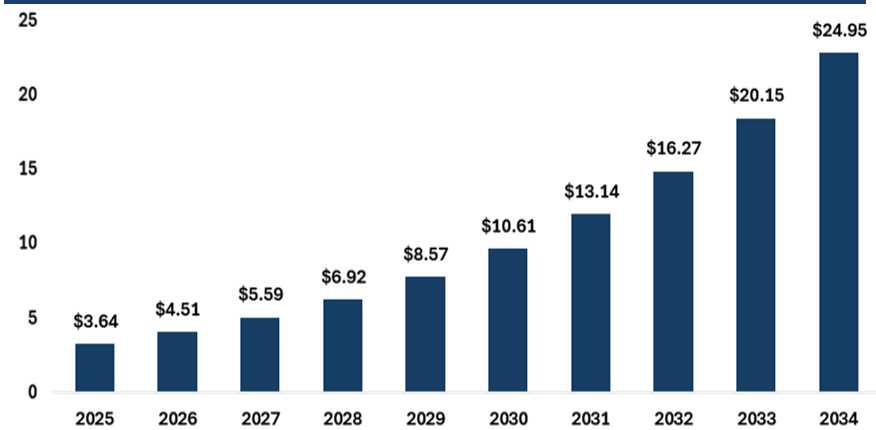
CHIPS for AMERICA

Sources: Amkor Website, SEC Filings, Yahoo Finance, Bloomberg, BIS Filings. SIA

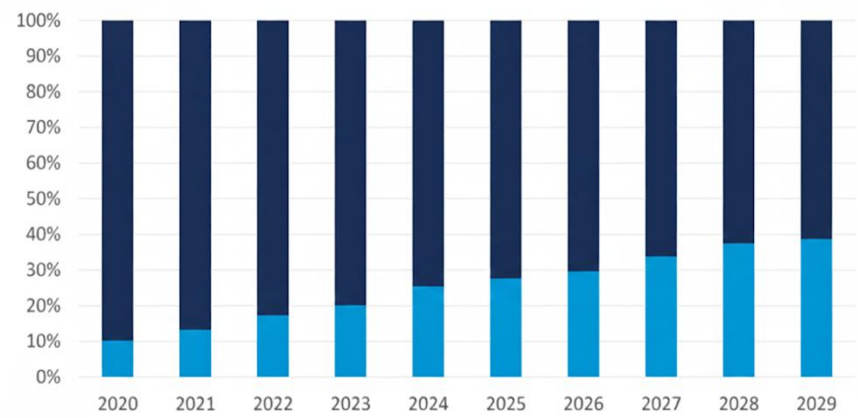
Thesis 2: Amkor at the Center of EV Component Packaging

Positioned to capture growth from EV electrification and SiC packaging, leveraging its first-mover advantage.

Silicon Carbide Semiconductor Devices Market (USD billion)



Automotive Power Electronics Semi Market



Opportunity in SiC EV Demand

- **SiC (Silicon Carbide)** is a high-efficiency semiconductor material critical for EVs and power electronics (faster charging, longer duration, and more energy efficiency)
- SiC semi market is projected to reach $10.6 billion by 2030 at a **~24% CAGR**
- Amkor is one of the **first OSATs to commercialize SiC packaging at scale**, establishing early-mover advantage
- EV adoption driving demand: **>50% of battery electric vehicles expected to use SiC powertrains by 2027** (vs ~30% today)

Market Growth

- New long-term developments of modern cars integrating chips for safety, connectivity, and energy efficiency (automotive/industrial accounts for 20% of revenue)
- ADAS and autonomous components expected to grow at **12.1% to $93.7B** by 2033; broader ecosystem may reach **$300-$400B** by 2035
- The automotive semiconductor market is expected to grow from **$71.2 billion in 2025** to approximately **$130.4 billion by 2035** highlighting strong tailwinds from automotive applications

Packaging Advantage

- SiC devices operate at >200°C that requires specialized materials and processes: **meaning older silicon fabs can't replicate or easily produce**
- SiC has **high barriers to entry and switching costs**, making Amkor a strategic partner **reinforced by domestic tailwinds**
- Industry scale advantage, manufacturing expertise, and long-standing customer relationships reinforce Amkor's indispensability in the supply chain

Sources: Amkor Website, SEC Filings, Yahoo Finance, Straights Research, Precedence Research, Businesswire, Gartner, McKinsey

Thesis 3: AI, HPC, and Global Rerisking Tailwinds

Broadest OSAT footprint, positioned to enable regional supply chains and capitalize on AI, Compute, and IoT tailwinds.

AI, Compute, and IoT Tailwinds

Smartphones and Tablets: Mobile devices, functions such as on-device AI, wireless charging, sensors, storage, 5G driving semi demand

- Amkor's largest segment at 51% of Q3 2025 revenue, seen partnerships with OEMs like Apple, Qualcomm and TSMC

High Performance Computing (HPC): AI and data center compute

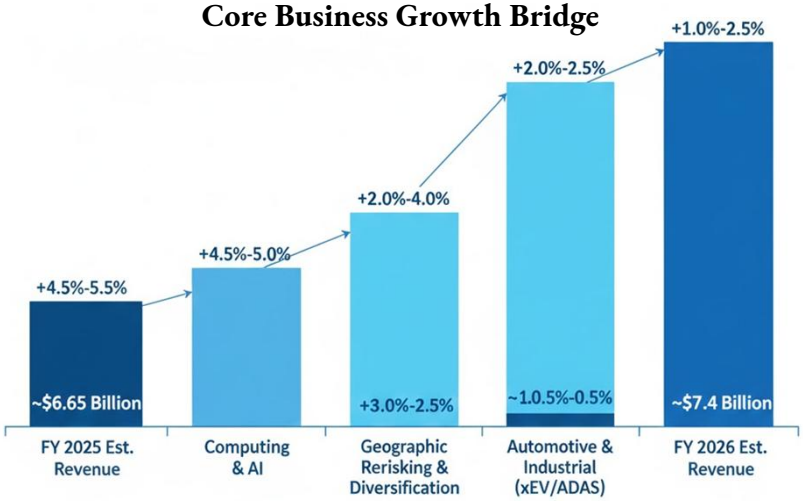
- Expected to grow more than 15% in 2025, reaching $90 billion by 2030 supports 2.5D/3D packaging
- Networking speed and storage within data centers, cloud computing, PCs and laptops driving end markets

Consumer and Internet of Things (IoT): Wearables, GPS, hearables, fitness and health, smart homes

- Connected devices are expected to reach around 20 billion by 2025 and exceed 40 billion by 2034, accelerating demand for compact, energy-efficient chips
- Fan-out-wafer level packaging required for these devices in miniaturization, high integration, and energy efficiency chips (14% of Q3 Revenue)

We model 7-15% revenue growth driven by stable demand and contributions from new facility expansions, advanced packaging solutions, and regional supply chain initiatives.

Core Business Growth Bridge



Geographic Footprint

- Operations include major hubs in Korea, Japan, China, Philippines, Taiwan, Vietnam, Portugal, and new headquarters in the U.S.
- Multiple production sites allow customers to diversify and regionalize supply chains, ie, U.S. or Portugal
- Global scale provides leverage for favorable material/equipment pricing and aims to facilitate tailored solutions and faster turnaround times
- Diverse geographic footprint supports customer relationships and strengthens tech leadership as it creates multiple revenue stream protection

Sources: Amkor Website, SEC Filings, Yahoo Finance, Straights Research, IDC, Statista

Valuation Summary – DCF

Base case produces 35.9% upside ($45.01 PT) at a 9.96% WACC and 8.8x EV/EBITDA Multiple.

	Projected								
Unlevered Free Cash Flow Projections:	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**	**2033E**	**2034E**
Revenue:	**$ 7,177.9**	**$ 7,895.7**	**$ 9,474.8**	**$ 11,369.8**	**$ 12,847.9**	**$ 14,518.1**	**$ 16,405.5**	**$ 17,553.8**	**$ 18,431.5**
Growth Rate:	*8.0%*	*10.0%*	*20.0%*	*20.0%*	*13.0%*	*13.0%*	*13.0%*	*7.0%*	*5.0%*
Operating Income (EBIT):	558.7	709.0	879.3	1,038.0	1,243.9	1,472.2	1,562.9	1,770.6	1,880.6
Operating Margin:	*7.8%*	*9.0%*	*9.3%*	*9.1%*	*9.7%*	*10.1%*	*9.5%*	*10.1%*	*10.2%*
Less: Taxes	111.7	141.8	175.9	207.6	248.8	294.4	312.6	354.1	376.1
EBIAT/NOPAT:	**447.0**	**567.2**	**1,203.4**	**830.4**	**995.1**	**1,177.8**	**1,250.3**	**1,416.5**	**1,504.4**
Depreciation & Amoritization:	**648.6**	**674.0**	**781.2**	**978.4**	**1,087.2**	**1,225.0**	**1,394.8**	**1,486.3**	**1,560.9**
Less: Capital Expenditures	**1,564.5**	**1,432.5**	**1,255.0**	**1,374.0**	**1,494.0**	**1,465.0**	**1,336.0**	**1,258.0**	**1,081.0**
% Revenue	*21.8%*	*18.1%*	*13.2%*	*12.1%*	*11.6%*	*10.1%*	*8.1%*	*7.2%*	*5.9%*
Total Changes In Operating Assets & Liabilti	**(151.8)**	**(129.8)**	**(132.9)**	**(195.6)**	**(204.1)**	**(228.0)**	**(266.9)**	**(280.1)**	**(294.5)**
Annual Unlerevered FCF:	**(317.2)**	**(61.5)**	**1,362.5**	**630.4**	**792.5**	**1,165.8**	**1,576.0**	**1,924.9**	**2,278.8**
Present Value of FCF:	**(288.4)**	**(50.9)**	**1,024.9**	**431.3**	**493.1**	**659.7**	**811.0**	**900.9**	**970.0**

Expansion to FCF Growth

- **Near-Term (2025-2027): FCF Headwind.** Amkor's Free Cash Flow is expected to be constrained or volatile due to a period of exceptionally high capital expenditures. The company is spending heavily (net $5-7B capex to 2034) to build out the new advanced facility. This heavy investment lowers FCF but is the biggest driver of future growth.
- **Long-Term (2028+): FCF Tail Wind.** Once the Arizona facility begins high-volume production (targeted for **early 2028**), this massive investment will convert to a significant source of high-margin revenue. The high CapEx cycle will ease slightly, leading to a structural improvement in FCF generation, margins, and Returns on Invested Capital (ROIC).

Sources: Amkor Website, SEC Filings, Yahoo Finance, Bloomberg, CapIQ

Valuation Summary – Exit Calculations

Terminal Value - Perpetuity Growth Method:

Baseline Terminal Growth Rate:		3.00%
Baseline Terminal Value:	$	15,335.0
Implied Terminal EBITDA Multiple:		3.3x
NPV of Terminal Value:		6,527.5
Sum of NPV of Free Cash Flows:		4,951.6
Implied Enterprise Value	**$**	**11,479.0**
% of Implied EV fom Terminal Value		*56.9%*
Plus: Cash & Cash-Equivalents		1495.7
Less: Total Debt:		(1811.9)
Less: Preferred Stock:		
Less: Noncontrolling Interests:		(33.6)
Implied Equity Value:		**11,129.1**
Diluted Shares Outstanding		247
Implied Share Price from DCF:		**45.04**
Premium / Disount to Current:		**35.9%**

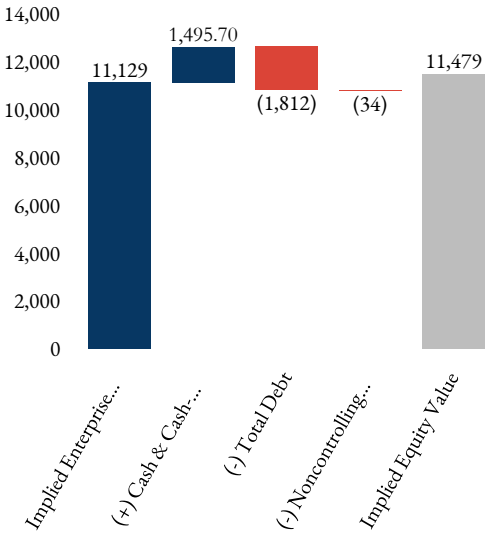
Terminal Value - Multiples Method:

Baseline Terminal EBITDA Multiple:		8.8x
Baseline Terminal Value:	$	30,181.9
Implied Terminal FCF Growth Rate:		3.00%
NPV of Terminal Value:	$	12,847.15
Sum of NPV of Free Cash Flows:		4,951.6
Implied Enterprise Value	**$**	**17,798.7**
% of Implied EV fom Terminal Value		*72.2%*
Plus: Cash & Cash-Equivalents		1495.7
Less: Total Debt:		(1811.9)
Less: Preferred Stock:		
Less: Noncontrolling Interests:		(33.6)
Implied Equity Value:		**17,448.8**
Diluted Shares Outstanding		247
Implied Share Price from DCF:		**70.61**
Premium / Disount to Current:		**113.1%**

Weighted Implied Share Price:

Perpetuity Growth		**80%**
Implied Enterprise Value:	$	11,479.03
Implied Share Price:	$	45.04
Exit Multiple		**20%**
Implied Enterprise Value:	$	17,798.71
Implied Share Price:	$	70.61
Implied Share Price:	**$**	**50.15**
Implied Upside:		**51.33%**

DCF Value Bridge



Target Price: $50.15

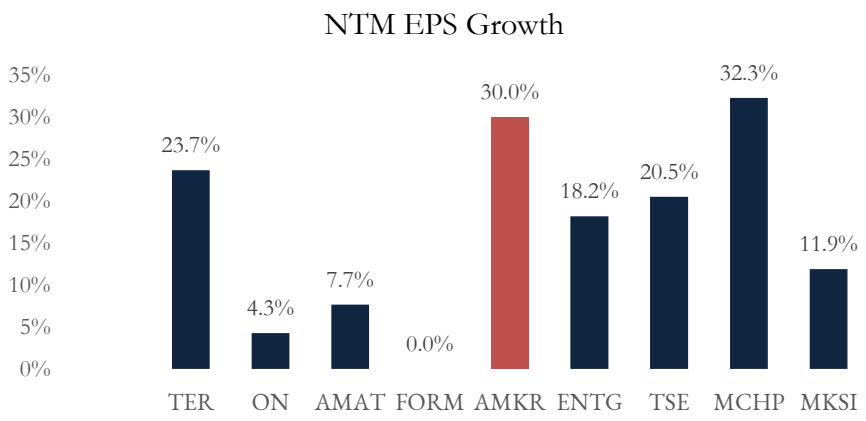
Buy with a hold period of 5 years minimum. Belief that Amkor can grow 3% base case on **conservative assumptions** that aligns with long-term macroeconomic reality.

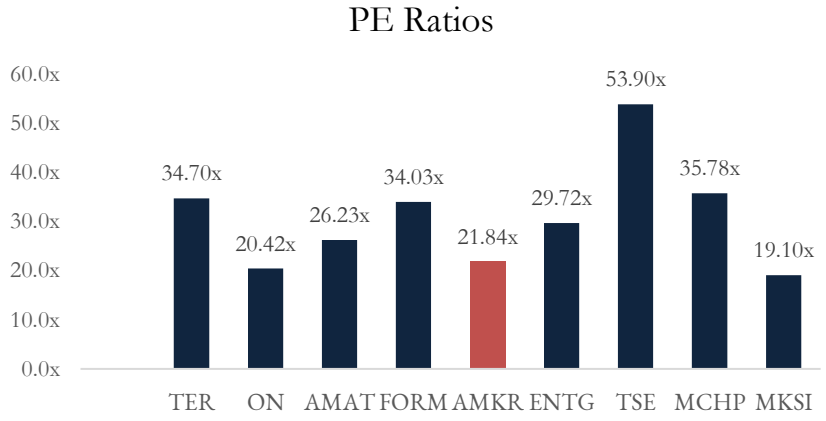
Sources: Amkor Website, SEC Filings, Yahoo Finance, Bloomberg, CapIQ

Comparable Company Analysis

Amkor trades at a discount on a relative/absolute basis as street misinterprets long term growth positioning.

Company Comp Set - U.S. Based Semiconductor Value Chain Name	Equity Value	Enterprise Value	LTM EV/Revenue	NTM PE	NTM EV/EBITDA	LTM EV/EBITDA	Price to Sales (P/S)	NTM EPS Growth
Amkor Technologies (NasdaqGS: AMKR)	8,080	10,836	1.2x	21.84x	6.49x	7.5x	1.2x	30.0%
Teradyne, Inc. (NasdaqGS:TER)	27,669	27,511	9.6x	34.70x	26.24x	40.6x	11.7x	23.7%
ON Semiconductor Corporation (NasdaqGS:ON)	21,021	21,850	3.4x	20.42x	12.59x	11.8x	15.1x	4.3%
Applied Materials, Inc. (NasdaqGS:AMAT)	187,809	187,557	6.6x	26.23x	21.86x	20.7x	7.8x	7.7%
FormFactor, Inc. (NasdaqGS:FORM)	3,680	3,467	4.5x	34.03x	21.41x	40.2x	5.7x	-
Entegris, Inc. (NasdaqGS:ENTG)	14,332	18,009	5.6x	29.72x	18.73x	19.6x	4.2x	18.2%
Advantest Corporation (TSE:6857)	105,123	103,779	16.4x	53.90x	40.29x	40.9x	15.2x	20.5%
Microchip Technology Incorporated (NasdaqGS:MCHP)	33,752	38,680	9.1x	35.78x	25.49x	38.6x	8.5x	32.3%
MKS Inc. (NasdaqGS:MKSI)	9,496	13,519	3.6x	19.10x	14.04x	14.5x	2.9x	11.9%
Maximum	187,809	187,557	16.40	53.9 x	40.3 x	40.9 x	15.2 x	32.3%
75th Percentile	51,594	54,955	9.23	35.0 x	25.7 x	40.3 x	12.5 x	22.1%
Median	**24,345**	**24,680**	**6.10**	**31.9 x**	**21.6 x**	**29.7 x**	**8.1 x**	**18.2%**
25th Percentile	13,123	16,887	4.28	24.8 x	17.6 x	18.3 x	5.3 x	9.8%
Minimum	3,680	3,467	3.40	19.1 x	12.6 x	11.8 x	2.9 x	4.3%





AMKR is attractively valued at a discounted multiple versus higher-priced OSAT peers (avg. P/E 31.9x), despite stronger growth tailwinds and superior EPS growth.

Sources: Amkor Website, SEC Filings, Yahoo Finance, Bloomberg, CapIQ

Risks and Mitigants

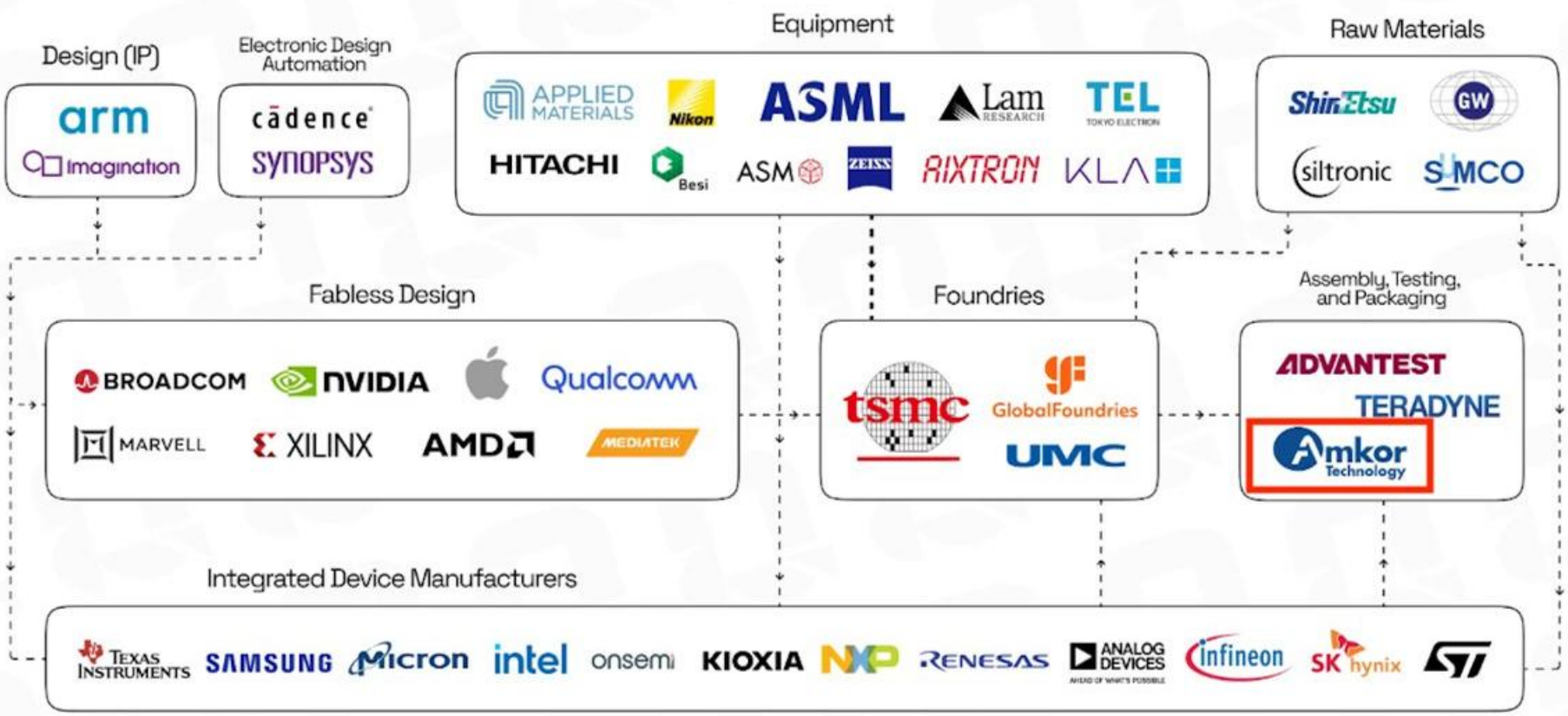
Several risks could have adverse implications on the value and success of Amkor.

	Risks	Mitigants
Customer Concentration & Geopolitical Risks	▪ High dependency on top customers ▪ The top ten customers accounted for 72% to 73% of net sales in 2024 and Q3 2025, respectively: loss of significant business from a major client could materially impact revenue ▪ Trade restrictions (e.g., BIS Regulations) and geopolitical tensions can disrupt supply chains and potentially restrict flow of goods or equipment	▪ Advanced packaging creates high switching costs; decades-long relationships ▪ Focus on scaling back in Chinese markets ▪ Utilizing a global manufacturing base across 9+ countries (Korea, Vietnam, etc.) and expanding into the US domestically ▪ Proven ability to shift production between facilities and support regional supply chains for tailored orders and better turnaround times
Industry Cyclicality & Volatility	▪ The semiconductor industry is inherently cyclical and subject to unpredictable swings in demand, which impacts financial stability ▪ High operating and capital expenses; fixed costs required to sustain high capacity utilization and new designs ▪ NVIDIA/U.S. loses market share	▪ All competitors experience similar volatility within the industry, but Amkor's new facility can give rise to new upcycles which raise quarterly margins and FCF ▪ Focus on Advanced Packaging means leadership in high-value, high-growth areas like 2.5D/3D packaging, SiP modules, and HDFO technology to differentiate from competitors
Execution Risks – Failure to Ramp	▪ The failure to timely and efficiently finish Arizona plant into high-volume manufacturing facilities (HVM) could lead to lost customer orders and delay revenue growth tailwinds ▪ Operating costs without utilization	▪ Amkor manages capital intensity risk by phasing its investments ▪ CHIPS incentives materially de-risk Amkor's Arizona expansion by lowering capital intensity and boosting cash returns ▪ Government subsidies and ITC support

Sources: Amkor Website, SEC Filings

Appendix

Value Chain


Design (IP)
arm
Imagination
Electronic Design Automation
cadence
Synopsys
Equipment
APPLIED MATERIALS
Nikon
ASML
Lam RESEARCH
TEL
HITACHI
Besi
ASM
ZEISS
RIXTRON
KLA
Raw Materials
ShinEtsu
GW
siltronic
SUMCO
Fabless Design
BROADCOM
NVIDIA
Qualcomm
MARVELL
XILINX
AMD
MEDIATEK
Foundries
tsmc
GlobalFoundries
UMC
Assembly, Testing, and Packaging
ADVANTEST
TERADYNE
Amkor Technology
Integrated Device Manufacturers
Texas Instruments
SAMSUNG
Micron
intel
onsemi
KIOXIA
NXP
RENESAS
ANALOG DEVICES
Infineon
SK hynix
ST

DCF

Unlevered FCF Projections								Growth Stage							Stable Growth	
Amkor Technologies (AMKR)								1	2	3	4	5	6	7	8	9
11/20/2025	Units:	2020	2021	2022	2023	2024	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Revenue:	$ M	5050.6	6138.3	7091.6	6503.1	6317.7	6646.2	7177.9	7895.7	9474.8	11369.8	12847.9	14518.1	16405.5	17553.8	18431.5
Growth Rate:	%	*(19.8%)*	*21.5%*	*15.5%*	*(8.3%)*	*(2.9%)*	*5.2%*	*8.0%*	*10.0%*	*20.0%*	*20.0%*	*13.0%*	*13.0%*	*13.0%*	*7.0%*	*5.0%*
Operating Income (EBIT):	$ M	457.2	763.4	897.2	470.3	438.5	437.0	558.7	709.0	879.3	1038.0	1243.9	1472.2	1562.9	1770.6	1880.6
Operating Margin:	%	*9.1%*	*12.4%*	*12.7%*	*7.2%*	*6.9%*	*6.6%*	*7.8%*	*9.0%*	*9.3%*	*9.1%*	*9.7%*	*10.1%*	*9.5%*	*10.1%*	*10.2%*
Less: Taxes	$ M	(46.18)	(69.46)	(89.89)	(81.71)	(75.48)	87.4	111.7	141.8	175.9	207.6	248.8	294.4	312.6	354.1	376.1
Tax Rate	%	*11.9%*	*9.7%*	*10.5%*	*18.4%*	*17.5%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*	*20.0%*
Invesment Tax Credit (ITC)	$ M									500.0						
EBIAT/NOPAT	$ M	**402.8**	**689.4**	**803.0**	**383.8**	**361.7**	**349.6**	**447.0**	**567.2**	**1203.4**	**830.4**	**995.1**	**1177.8**	**1250.3**	**1416.5**	**1504.4**
Depreciation & Amoritization:	$ M	510.4	563.6	612.7	631.5	594.7	476.0	648.6	674.0	781.2	978.4	1,087.2	1,225.0	1,394.8	1,486.3	1,560.9
% Sales	%	*10.1%*	*9.2%*	*8.6%*	*9.7%*	*9.4%*	*7.2%*	*9.0%*	*8.5%*	*8.2%*	*8.6%*	*8.5%*	*8.4%*	*8.5%*	*8.5%*	*8.5%*
Total Changes in Operating Assets & Liabilties (NWC):	$ M	(38.4)	150.2	322.5	(229.5)	(149.5)	(29.9)	(151.8)	(129.8)	(132.9)	(195.6)	(204.1)	(228.0)	(266.9)	(280.1)	(294.5)
% Sales	%	(0.8%)	2.4%	4.5%	(3.5%)	(2.4%)	(0.4%)	(2.1%)	(1.6%)	(1.4%)	(1.7%)	(1.6%)	(1.6%)	(1.6%)	(1.6%)	(1.6%)
Less: Capital Expenditures (CapEX):	$ M	553.0	779.8	908.3	749.5	743.8	950.0	1564.5	1432.5	1255.0	1374.0	1494.0	1465.0	1336.0	1258.0	1081.0
Unlervered Free Cash Flow:	$ M	398.6	323.0	184.9	495.3	362.1	-94.5	-317.2	-61.5	1362.5	630.4	792.5	1165.8	1576.0	1924.9	2278.8
Present Value of Free Cash Flow:	$ M	-	-	-	-	-	-	(288.4)	(50.9)	1,024.9	431.3	493.1	659.7	811.0	900.9	970.0

Main

	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E
Revenue	**4,316**	**4,053**	**5,051**	**6,138**	**7,092**	**6,503**	**6,318**	**6,646**	**7,178**	**7,895**	**9,475**	**11,369**	**12,847**	**14,518**	**16,405**	**17,553**	**18,431**	**19,352**
COGS	3,606	3,403	4,150	4,913	5,762	5,560	5,384											
Gross Margin	711	649	901	1,226	1,330	943	933	1,064	1,083	1,207	1,465	1,738	1,972	2,231	2,515	2,694	2,829	2,969
R&D	157	138	141	166	149	177	163	168	170	171	173	175	176	178	180	182	184	185
MG&A	295	282	303	296	283	295	332	342	345	349	352	356	359	363	366	370	374	378
Operating Expenses	452	420	444	462	433	473	495	510	515	520	525	530	536	541	546	552	557	563
Operating Income (EBIT)	258	230	457	763	897	470	438	554	569	688	940	1,207	1,436	1,690	1,969	2,142	2,272	2,406
Interest	79	72	64	52	59	59	65	70	83	99	128	165	200	240	288	325	360	397
Other Income Expense (net)	-7	2	6	-3	-18	-33	-58	-43										
Pretax	337	301	521	815	956	529	431	527	486	589	812	1,042	1,237	1,450	1,681	1,817	1,912	2,009
Taxes	56	37	46	69	90	82	75	95	87	-394	146	188	223	261	303	327	344	362
Net Income	281	264	475	745	866	448	356	432	399	983	666	855	1,014	1,189	1,379	1,490	1,567	1,647
EPS	1.17	1.10	1.96	3.03	3.52	1.81	1.43	1.75	1.61	3.97	2.69	3.45	4.09	4.80	5.56	6.01	6.33	6.65
Shares	240	240	242	246	246	247	248	248	248	248	248	248	248	248	248	248	248	248
Revenue y/y		**-6%**	**25%**	**22%**	**16%**	**-8%**	**-3%**	**5%**	**8%**	**10%**	**20%**	**20%**	**13%**	**13%**	**10%**	**7%**	**5%**	**5%**
Gross Margin	16.5%	16.0%	17.8%	20.0%	18.8%	14.5%	14.8%	16.0%	15.1%	15.3%	15.5%	15.3%	15.3%	15.4%	15.3%	15.3%	15.3%	15.3%
Interest Expense as % of Sales	1.8%	1.8%	1.3%	0.8%	0.8%	0.9%	1.0%	1.1%	1.2%	1.3%	1.4%	1.5%	1.6%	1.7%	1.8%	1.9%	2.0%	2.1%
Other Income Expense as % of Sales	-0.2%	0.0%	0.1%	-0.1%	-0.3%	-0.5%	-0.9%											
Tax Rate	30.3%	23.3%	11.9%	9.7%	10.5%	18.4%	17.5%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
EBITDA	830.1	754.0	967.6	1,327.0	1,509.9	1,101.8	1,033.1											

Capital Expenditures

Year	2,025	2,026	2,027	2,028	2,029	2,030	2,031	2,032	2,033	2,034
Phase 1 (M)	350	1150	500	0	0	0	0	0	0	0
Phase 2 (M)	0	0	500	600	700	800	750	600	500	550
Cumulative Spend (M)	350	1500	2500	3100	3800	4600	5350	5950	6450	7000
Maintenance CapEx (M)	600	618	636	655	674	694	715	736	758	781
Total CapEx Projections (Net Cash) (M)	**950**	**$1,768**	**$1,636**	**$1,255**	**$1,374**	**$1,494**	**$1,465**	**$1,336**	**$1,258**	**$1,331**

Growth Capex vs. Maintenance Capex									
($ in millions)	Year 2026	Year 2027	Year 2028	Year 2029	Year 2030	Year 2031	Year 2032	Year 2033	Year 2034
Revenue	$7,178	$7,896	$9,475	$11,370	$12,848	$14,518	$16,405	$17,554	$18,432
% Growth	--	10.0%	20.0%	20.0%	13.0%	13.0%	13.0%	7.0%	5.0%
Growth Capex	$1,150	$1,000	$600	$700	$800	$750	$600	$500	$300
(+) Maintenance Capex	618	636	655	674	694	715	736	758	781
(-) CHIPS Act Grant Funding	(204)	(204)							
Total Capex	**$1,565**	**$1,433**	**$1,255**	**$1,374**	**$1,494**	**$1,465**	**$1,336**	**$1,258**	**$1,081**
% Revenue	21.8%	18.1%	13.2%	12.1%	11.6%	10.1%	8.1%	7.2%	5.9%
Growth Capex % Total Capex	73.5%	69.8%	47.8%	50.9%	53.5%	51.2%	44.9%	39.7%	27.8%
Maintenance Capex % Total Capex	39.5%	44.4%	52.2%	49.1%	46.5%	48.8%	55.1%	60.3%	72.2%

- The CHIPS Act's 25% Investment Tax Credit (ITC) is a credit on qualified semiconductor manufacturing investments but is only realized **in the year the property is "placed in service" (ready for production)**
- Capex estimates from October 6th press release: "The expanded investment includes additional cleanroom space and a second greenfield packaging and test facility, **increasing total project investment by more than $5 billion, to a total of $7 billion across two phases**

WACC

WACC	
Market Cap	9,000
% of Equity	83.2%
Cost of Equity	11.30%
Risk Free Rate (5 yr)	3.72%
Beta	2.00
Market Risk Premium	3.79%
Debt	1,812
% of Debt	16.76%
Cost of Debt	4.00%
Tax Rate	17.50%
Total	10,812
WACC	9.96%

- Unlevered beta of 2.00
- MRP = 3.79 from NYU estimate
- Risk Free Rate = 5 year US treasury

Stock Analysis - AMKR

AMKR Trading History

*Prices included in graph are closing prices